

LOGFRET, INC.,	:	
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Complainant,	:	
	:	
v.	:	Docket No. 18-10
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	:	
KIRSHA, B.V.,	:	
Leendert Johannes BERGWERFF a/k/a Hans BERGWERFF,	:	
LINDA SIEVAL,	:	
	:	
Respondents.	:	
	:	

Pursuant to Rules 69 and 71 of the Federal Maritime Commission’s Rules of Practice and Procedure, *see* 46 C.F.R. §§ 502.69, 502.71, Complainant Logfret, Inc. (“Complainant” or “Logfret”) respectfully submits this Motion to Strike and argument in support of the Motion, with respect to Respondents’ Petition for Attorney’s Fees (“Petition for Attorney’s Fees”) filed by Respondents Kirsha B.V., Hans Bergwerff, and Linda Sieval (collectively, “Respondents”) on October 23, 2019, and the Supplement to Petition for Attorney’s Fees (“Supplement to Petition”) filed by Respondents on November 7, 2019.

Logfret filed its Verified Complaint against Respondents before the Federal Maritime Commission (“Commission” or “FMC”) on November 9, 2018. Well more than 25 days passed from the date of filing of the Complaint with no response from Respondents, in violation of Rule

62(b)(1) of the FMC Rules of Practice and Procedure.¹ During this time Respondents not only failed to file an answer or provide a response of any kind to the Commission, but also failed to make an appearance or serve any response on Complainant.²

On December 19, 2018, the Commission issued an Order Requiring Answer, which *sua sponte* provided Respondents with additional time beyond the 25 days provided in Rule 62(b)(1) to file an answer or response to the Complaint. The December 19, 2018 Order stated, “Respondents’ answer must be filed by January 9, 2019, or they will be in default.” Further, on December 26, 2018, Your Honor issued a Notice Regarding Deadlines, which stated the Commission’s offices would be inaccessible temporarily as a result of the partial federal government shutdown. Accordingly, Respondents’ responsive pleading was required to be served on Logfret on or by January 9, 2019.

Counsel for Respondents reportedly mailed Respondents’ Motion to Dismiss to Complainant on January 9, 2019, according to a Memorandum dated a week after this deadline. *See* Ex. 2. However, Counsel for Respondents failed to notify counsel for Logfret of the Motion to Dismiss by electronic mail on January 9, 2019, as requested in the Notices of Appearance. This Motion to Dismiss was also never physically delivered to Logfret’s counsel, a failure that counsel for Respondents attributed as “both weather and federal government shutdown related.” As such, it was only on the following Wednesday, January 16, 2018, that counsel for Respondents made it known to Logfret that it intended to make a special appearance in this

¹ 46 C.F.R. § 502.62(b)(1).

² On December 12, 2018, Ms. Sieval apparently emailed, with Mr. Bergwerff on copy, an FMC web address (judges@fmc.gov) stating, among other things, that the FMC had published home addresses and private email addresses of Ms. Sieval and Mr. Bergwerff, and urging the FMC to redact this information. On December 13, 2018, the Secretary of the FMC responded by removing the Complaint from the FMC website “as a courtesy for the time being” and advising Respondents to file a Motion to request confidentiality. The Secretary of the FMC also advised that all documents in the proceeding must be filed in accordance with Rule 2 of the FMC Rules of Practice and Procedure, *see* 46 C.F.R. § 502.2.

proceeding and to serve a Motion to Dismiss.

On January 29, 2019, Logfret submitted a Motion to Request Extension of Time to File Complainant's Response to Motion to Dismiss, requesting an additional seven (7) days to submit a response. The following day, on January 30, 2019, Your Honor determined the requested brief extension was reasonable and granted the seven-day extension, until February 7, 2019. On February 7, 2019, Logfret submitted a Motion to Amend Complaint, as well as a Motion for Extension of Time to File Complainant's Response in Opposition to Motion to Dismiss. On February 12, 2019, Your Honor issued an Order requiring Logfret to supplement the Motion to Amend Complaint with a memorandum of law supporting the motion as well as a proposed amended complaint. In the same Order, Your Honor granted the Motion for Extension of Time to allow Logfret to file the supplemental documents.

On February 20, 2019, the due date for the Amended Complaint and Memorandum of Support regarding same, the federal government offices in Washington, D.C., including the offices of the Federal Maritime Commission, were closed due to inclement weather.³ Given the closure of the FMC offices on February 20, 2019 and pursuant to FMC Rule 101, the Amended Complaint and Memorandum in Support were filed on February 21, 2019. On March 7, 2019 Respondents filed an Opposition to Motion to Amend Complaint and Statement of Impact of Proposed Amendment on Respondent's Motion to Dismiss. On April 24, 2019, Your Honor granted the Motion to Amend Complaint and further ordered that Complainant file its Opposition to Motion to Dismiss on or before May 8, 2019.

³ Rule 101 of the FMC Rules of Practice and Procedure, 46 C.F.R. § 502.101, states, "If the Commission's offices are inaccessible on the last day for a filing, the time for filing is extended to the first accessible day that is not a Saturday, Sunday, or Federal holiday."

On May 8, 2019, Logfret filed a memorandum in opposition to Respondents' Motion to Dismiss. On May 20, 2019, Respondents filed a reply to Complainant's opposition to the motion to dismiss. Your Honor issued an Initial Decision granting Respondents' Motion to Dismiss, served September 17, 2019. On October 21, 2019, the Secretary of the Commission issued a Notice Not to Review, indicating that decision became administratively final.

On October 23, 2019, Respondents filed a Petition for Attorney's Fees, requesting that Your Honor award fees in the amount of \$47,518 to Respondents. On October 28, 2019, Your Honor served an Order to Supplement Petition for Attorney Fees, which stated that Respondents may file a supplement to the Petition for Attorney's Fees by November 7, 2019. Respondents filed a Supplement to Petition on November 7, 2019.

Logfret timely submits this non-dispositive Motion to Strike and argument in support of the Motion herein, in accordance with Rule 71 of the Federal Maritime Commission's Rules of Practice and Procedure, *see* 19 C.F.R. § 502.71.

ARGUMENT IN SUPPORT OF MOTION TO STRIKE

I. Respondents' Petition for Attorney Fees is Prematurely Filed and Must be Stricken from the Record

Title 28 of the U.S. Code relates to the federal Judiciary and Judicial Procedure. 28 U.S.C. § 2342 provides, in particular, "The court of appeals (other than the United States Court of Appeals for the Federal Circuit) has exclusive jurisdiction to enjoin, set aside, suspend (in whole or in part), or to determine the validity of—....(3) all rules, regulations, or final orders of— (B) the Federal Maritime Commission issued pursuant to section 305, 41304, 41308, or 41309 or chapter 421 or 441 of title 46..." Any party aggrieved by a subject final order, including a final

order of the Federal Maritime Commission, may, within sixty days after its entry, file a petition at the federal court of appeals to review the order.⁴

The Federal Maritime Commission issues a final order relating to a violation of Title 46, Subtitle IV, Part A (Ocean Shipping), after providing an opportunity for a hearing, and may reverse, suspend, or modify any of its orders.⁵ An order of the Commission remains in effect for the period specified in the order or until suspended, modified, or set aside by the Commission or a court of competent jurisdiction.⁶

Furthermore, Rule 254 of the Federal Maritime Commission's Rules of Practice and Procedure, *see* 46 C.F.R. §§ 502.254(a), states that the Commission may, upon petition, award a prevailing party reasonable attorney fees.⁷ In order to recover attorney fees, a prevailing party must file a petition within 30 days *after a decision becomes final*, where a "decision" includes an initial decision or dismissal order issued by an administrative law judge; a final decision issued by a small claims officer; or a final decision issued by the Commission. Such a decision is considered final when the time for seeking judicial review has expired or when a court appeal has terminated.⁸ *See, e.g., Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, Order Granting Petition for Attorney's Fees (served June 17, 2011) (referencing, among other things, *Attorney's Fees in Reparation Proceedings*, 23 S.R.R. at 1700, and quoting, "[T]he point is well taken that fees should not be awarded until any review process that may reverse a reparations award is completed.").

⁴ 28 U.S.C. § 2344.

⁵ 46 U.S.C. § 41304.

⁶ *Id.*

⁷ *See also* 46 U.S.C. § 41305(e) ("In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.")

⁸ 46 C.F.R. § 502.254(c)(1).

In this case, the Secretary of the FMC issued to the Parties a Notice Not to Review on October 21, 2019, stating that decision became administratively final on that date. Pursuant to 28 U.S.C. § 2344, Logfret has sixty days, until December 20, 2019, to determine whether to file a petition with the federal court of appeals to review the Commission's order. Consequently, the time available for Logfret to appeal the administratively final order from the Federal Maritime Commission to the courts of appeal for judicial review has not yet expired. Pursuant to FMC Rule 254, therefore, the FMC's order is not yet final for purposes of Respondents' Petition for Attorney's Fees.

In light of the Respondents' premature request for attorney fees in this case, we respectfully move for Your Honor to strike Respondents' Petition for Attorney's Fees and Supplement to the Petition from the record.

CONCLUSION

For the reasons set forth above, Logfret respectfully requests that Your Honor strike Respondents' Petition for Attorney's Fees and Supplement to the Petition. As required by Rule 71 of the Federal Maritime Commission's Rules of Practice and Procedure, *see* 46 C.F.R. § 502.71(a), the respective counsel for the Parties conferred by telephone on November 13, 2019 regarding this Motion to Strike to determine whether there is any opposition to the relief sought, and counsel for Respondents conveyed that this Motion is not opposed.

Dated at Washington, D.C. this 14th day of November 2019.

Respectfully submitted,

/s/ Ashley Craig
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Counsel for Complainant

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon all parties noted below by mailing a copy to each such person:

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Counsel for Respondents

Dated at Washington, D.C. this 14th day of November 2019.

/s/ Ashley Craig
Ashley W. Craig
Counsel for Complainant